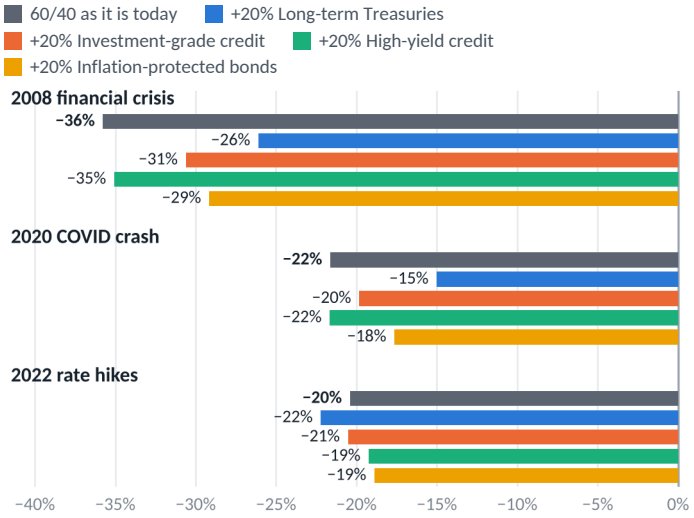
Adding a bond strategy to a 60/40 portfolio

We tested four bond and credit strategies as a 10% or 20% slice of a typical portfolio of 60% stocks and 40% bonds, over 19 years that include three market crises. Each strategy is represented by a public exchange-traded fund, so every number can be checked.

THE SHORT ANSWER

- **Long-term Treasuries protected best when stocks crashed.** A 20% slice cut the 2008 loss from 36% to 26% and the 2020 loss from 22% to 15%. They made 2022 worse: a 22% loss instead of 20%, because rising interest rates pushed stocks and bonds down together.
- **Inflation-protected bonds were the only strategy that softened all three crises:** losses of 29%, 18% and 19% instead of 36%, 22% and 20%. Return per unit of risk rose from 0.58 to 0.61.
- **High-yield credit moves with stocks** (correlation 0.71 with the 60/40). A 20% slice barely changed the worst loss (36% to 35%) and lowered return per unit of risk (0.58 to 0.56). In a portfolio it acts more like extra stocks than extra protection.
- **The trade-off:** every blend earned a little less per year than the plain 60/40 (7.0% to 7.5%, against 7.8%), because U.S. stocks returned 10.7% a year over this period. The strategies bought smaller losses, not higher returns.

IN A CRISIS: HOW MUCH THE PORTFOLIO LOST



Fall in value from the stock market's high to its low in each crisis (for 2022, January to October). Each blend puts 20% in the strategy.

EACH STRATEGY ON ITS OWN

Strategy on its own	Return per year	Worst loss	Moves with the 60/40?
Long-term Treasuries TLT: U.S. government bonds, 20+ years to maturity	2.6%	−48%	Opposite (−0.17)
Investment-grade credit LQD: bonds of large, highly rated U.S. companies	3.8%	−25%	Somewhat (+0.33)
High-yield credit HYG: bonds of lower-rated U.S. companies	4.7%	−34%	Closely (+0.71)
Inflation-protected bonds TIP: U.S. Treasuries indexed to inflation (TIPS)	3.3%	−15%	Unrelated (+0.03)

THE FULL RECORD, JUNE 2007 TO OCTOBER 2026

Portfolio	Return per year	Ups and downs (volatility)	Worst loss (max drawdown)	Return per unit of risk (Sharpe)	2008 crisis	2020 crisis	2022 crisis
60/40 as it is today	**7.8%**	**11.8%**	**−35.8%**	**0.58**	**−35.8%**	**−21.6%**	**−20.4%**
+ 10% Long-term Treasuries (TLT)	7.4%	10.4%	−31.1%	0.60	−31.1%	−18.4%	−21.3%
+ 20% Long-term Treasuries (TLT)	7.0%	9.4%	−26.4%	0.62	−26.1%	−15.0%	−22.2%
+ 10% Investment-grade credit (LQD)	7.4%	11.0%	−33.2%	0.58	−33.2%	−20.7%	−20.5%
+ 20% Investment-grade credit (LQD)	7.1%	10.2%	−30.6%	0.59	−30.6%	−19.8%	−20.5%
+ 10% High-yield credit (HYG)	7.5%	11.5%	−35.4%	0.57	−35.4%	−21.6%	−19.8%
+ 20% High-yield credit (HYG)	7.2%	11.1%	−35.1%	0.56	−35.1%	−21.7%	−19.2%
+ 10% Inflation-protected bonds (TIP)	7.4%	10.7%	−32.5%	0.59	−32.5%	−19.6%	−19.6%
+ 20% Inflation-protected bonds (TIP)	7.0%	9.5%	−29.3%	0.61	−29.2%	−17.6%	−18.9%

How to read this. *Return per year* is the average yearly growth, with income reinvested. *Ups and downs* measures how much the value swings in a typical year; lower is calmer. *Worst loss* is the largest fall from a previous high before recovering. *Return per unit of risk* (the Sharpe ratio) is the return earned above cash for each unit of ups and downs; higher is better. *Moves with the 60/40* describes the correlation of daily returns: +1 means always moving together, −1 always opposite.

How it was built. Stocks are the SPDR S&P 500 ETF (SPY); bonds are the iShares Core U.S. Aggregate Bond ETF (AGG); cash is the SPDR 1-3 Month T-Bill ETF (BIL). A 10% slice is funded proportionally, so the portfolio becomes 54% stocks, 36% bonds and 10% strategy. Portfolios are rebalanced monthly. Daily dividend-adjusted prices from Yahoo Finance, checked against an independent copy. Crisis windows: Oct 9 2007 – Mar 9 2009, Feb 19 – Mar 23 2020, Jan 3 – Oct 12 2022. Full calculations are in the accompanying Excel workbook.

Important. Past results do not predict future returns. ETFs are stand-ins and differ from any actual strategy's holdings, fees and trading. In 2008 some bond ETFs briefly traded below the value of their holdings, which makes their crisis losses look larger than the underlying bonds'. This brief is for discussion and is not investment advice.